



Our ref: IM-73014
IM-73015

25 September 2025

Dear Interested Party

Request for submissions: Coles' proposed acquisitions of leasehold interests in large-format supermarket sites in Western Melbourne

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on two proposed acquisitions by Coles Supermarkets Australia Pty Ltd (**Coles**):

- The acquisition of a leasehold interest to establish a new large-format supermarket at Deanside Central Town Centre in Deanside, Victoria (**Deanside Central**)
- The acquisition of a leasehold interest to establish a new large-format supermarket at Mount Atkinson Major Town Centre, Mount Atkinson, Victoria (**Mt Atkinson**),

(together, the **Proposed Acquisitions**).

Coles has offered to give an undertaking under section 87B of the *Competition and Consumer Act* (the **Act**) to relinquish its leasehold interest in a site at Kororoit Town Centre should the ACCC grant clearance for the Proposed Acquisitions.

Further details about Coles and the Proposed Acquisitions are provided at **Attachment A**.

The ACCC's investigation is focused on the impact on competition. In particular, we are seeking your views on:

- competitive overlap of the new supermarkets (when built) in Deanside Central and Mount Atkinson with each other, with existing supermarkets in the respective local areas and with a supermarket (if established) at Kororoit Town Centre;
- the extent to which each of the Proposed Acquisitions is likely to raise barriers to entry and expansion for alternative grocery suppliers to consumers; and
- whether new entry or expansion in the retail supply of grocery products would constrain Coles from altering its prices, range, quality and/or service levels.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the Act. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **2pm on Wednesday 8 October 2025** via email to mergers@accc.gov.au, with the title: *Submission re: Coles/Deanside Central and Mt Atkinson*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the *Competition and Consumer Act 2010*. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore, please clearly indicate if any information you provide is confidential. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely



Daniel McCracken-Hewson
General Manager
Merger Assessments

Attachment A

The Acquirer – Coles

Coles is an Australian ASX-listed company that operates more than 800 supermarkets nationwide. Coles' large-format stores typically offer standard grocery items, as well as a full-service bakery and deli service. Coles also operates smaller format 'Coles Local' supermarkets with a smaller range of grocery items.

Coles operates an online grocery shopping and delivery platform named 'Coles Online', which allows customers to shop for groceries with either home delivery options or pick up from 'Click&Collect' locations at existing Coles stores.

Coles currently operates several supermarkets in the region where the target leasehold interests are located, including at Woodlea, Caroline Springs and Taylors Hill.

Coles also holds a leasehold interest in a site designated for future supermarket use in Kororoit, roughly halfway between the Deanside Central and Mt Atkinson locations.

Proposed Acquisitions

The Proposed Acquisitions are each for leases for greenfield supermarket developments in the Melton region in Victoria. This geographic area, which is undergoing significant development, is known as the 'Melton Growth Corridor'.

These are separate transactions with separate vendors, for which the ACCC is conducting separate reviews. However, as the stores are in close proximity to one another and the transactions are occurring at similar times, the ACCC is considering the two transactions concurrently.

Proposed acquisition of Deanside Central Site

Coles has entered into an agreement for lease in relation to a proposed shopping centre at Deanside Central Town Centre in Deanside, Victoria (**Deanside Central Proposed Acquisition**). Coles expects its new store to commence trading in the centre in 2027 with a 2,800sqm saleable floor area. This site is also proposed to have 6 'Click&Collect' bays for Coles Online orders, and a Liquorland store.

The lessor for the Deanside Central location is Oreana Property Group, a privately-owned Australian property development, construction and investment group.

Proposed acquisition of Mt Atkinson Site

Coles is in final negotiations regarding an agreement for lease in relation to a proposed shopping centre in the Mt Atkinson Major Town Centre, Victoria (**Mt Atkinson Proposed Acquisition**). Coles expects its new store to launch in mid-2028 with a 2,800sqm saleable floor area. This site is also proposed to have 6 'Click&Collect' bays for Coles Online orders, and a Mt Atkinson Liquorland store.

The lessor for the Mt Atkinson location is Mt Atkinson Holdings Pty Ltd & Mensch Investments No. 3 Partnership, the landholder and developer of the Mt Atkinson Major Town Centre site.

Attachment B – List of Questions

Note: It will assist the ACCC if in responding you would clearly identify whether your comments relate to both sites, or one specific site.

1. To better understand your views, describe your business or organisation and explain your interest in the Proposed Acquisitions, including any commercial relationship/s with Coles, Oreana Property Group or Mt Atkinson Holdings Pty Ltd & Mensch Investments No. 3 Partnership.

Competition in retail market for the supply of groceries

2. Identify which stores, and prospective stores, you consider would be close competitors to Coles if it was to commence supermarket operations at Deanside Central and/or Mt Atkinson. In responding, discuss the likely extent of competitive overlap between the Kororoit site and each of the Deanside Central and Mt Atkinson sites
3. Describe how far consumers typically travel in local areas in north-west Melbourne, and particularly in the vicinity of Deanside Central and/or Mt Atkinson, to access supermarket sites, including large-format supermarkets.

Likelihood of entry or expansion

4. Identify any credible alternative acquirers of the Deanside Central or Mt Atkinson sites and discuss the likelihood of such acquirers doing so absent the Proposed Acquisitions.
5. Discuss the availability of sites in the Melton Growth Corridor that are suitable for large-format supermarkets, including any relevant planning and zoning limitations.

Note: large-format supermarkets generally refer to stores that are larger than approximately 2,000sqm.

6. Identify whether you expect new entry in supermarket retailing is likely to occur in the Melton Growth Corridor before or after Coles builds a supermarket store at the target sites, and whether such entry would be of sufficient scale and within a sufficient timeframe to impose a competitive constraint on Coles if it proceeds with one or both of the Proposed Acquisitions.
7. Discuss whether Coles' proposed divestiture of the Kororoit Town Centre site would or would not fully address any competition concerns you have in relation to the Proposed Acquisitions. In responding, discuss how likely is an alternative supermarket operator to establish a supermarket at the Kororoit site, and in what timeframe.

Other information and competition issues

8. Provide any additional information or comments that you consider relevant to the ACCC's consideration of the likely competitive effects of the Proposed Acquisitions.